

SK Hynix

Outperform

Giddy profit growth at a low PE multiple

Key Points

- We expect the memory shortage to continue to worsen, despite new fabs coming on line from 2027. Potential HBM price adjustment in 2027 is a big plus.
- We expect a series of ADR issuances, after share buyback/cancellation, which should drain local free float and invite foreign passive money flows.
- Maintain OP/Marquee Buy; raise TP 61% from Won1.8m to Won2.9m at unchanged 6x PE, but extend base year from 2026 to 2027.

Strong earnings growth outlook with positive technical angle

- **Token demand hitting memory ceiling.** Despite multiple fabs opening from 2027, DRAM industry bit supply growth should be capped at 20% in 2028, driven by slowing net die growth from migration to the 1d/0a nm nodes and a worsening HBM4E/5 trade ratio. Meanwhile, the proliferation of Agentic AI should drive token demand sharply higher. Memory prices are likely to remain buoyant beyond 2027.
- **HBM price surge in 2027E.** We believe major AI chip companies will have little choice but to accept material price increases (>50%) for 2027 HBM to secure the necessary DRAM wafer capacity. This will be critical for HBM buyers to avoid their prior mistake (failing to secure enough supply in 2026) and for Hynix to align profit levels between DRAM and HBM.
- **Hynix can pick and choose favourable LTAs (long-term agreements).** The tricky part is how much volume Hynix wants to commit to multi-year contracts. Still, LTAs should limit downside risk, while quarterly pricing continues to move within a wide price band.
- **Virtuous cycle driven by ADR issuances.** We expect Hynix to spend c.Won250tn over the next two years on share buybacks and cancellations, representing the balance of its 50% cumulative FCF payout. After the initial ADR listing (c.2% of outstanding shares), we expect it to continue increasing the ADR portion to over 15% of shares outstanding. Local free float should therefore continue to contract, while the ADRs, given limited fungibility, should command a premium.

Earnings changes: No change in our top-of-the-Street EPS forecasts.

Valuation: Raise TP 61% to Won2,900,000 (from Won1,800,000), based on 6x 2027E PE. With improved earnings visibility, 2027 should demonstrate Hynix's earnings power better than 2026.

Catalysts: LTA contracts; 2027 HBM supply contracts; revised shareholder return policy. ADR listing.

Investment Thesis and Recommendation

We believe SK Hynix is still a compelling buy, trading at 3x ex-cash 2027E PE for 10x EPS growth over 2025-28E. More company research [here](#).

Semicons & Semicon Equip Korea



Daniel Kim



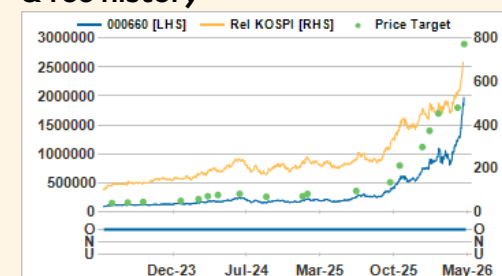
Jacob Kim

000660 KS	Outperform
Price (at 13 May 2026)	KRW1,976,000
12-month target	KRW2,900,000
12-month TSR (%)	46.8
Volatility Index	High
Market Cap (Local) (m)	1,408,299,904
Market Cap (USD) (m)	945,771
Free Float (%)	74
30-day avg turnover (USD) (m)	4,112.1

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (bn)	97,147	322,408	541,564	764,436
Revenue growth (%)	46.8	231.9	68.0	41.2
EBIT (bn)	47,206	256,669	456,768	660,084
EBIT growth (%)	101.2	443.7	78.0	44.5
Reported profit (bn)	42,948	213,951	340,164	494,376
Adjusted profit (bn)	42,919	213,894	340,106	494,318
EPS rep [KRW]	58,994.2	300,197.7	477,288.5	693,665.1
EPS rep growth (%)	116.9	408.9	59.0	45.3
EPS adj [KRW]	58,954.9	300,117.1	477,207.2	693,583.2
EPS adj growth (%)	116.9	409.1	59.0	45.3
Net debt/equity (%)	(10.5)	(49.1)	(65.7)	(74.9)
ROA (%)	31.9	89.2	80.0	66.6
ROE (%)	44.2	93.7	67.3	53.7
PER rep (x)	33.5	6.6	4.1	2.8
PER adj (x)	33.5	6.6	4.1	2.8
EV/EBITDA (x)	21.8	4.7	2.7	1.9
P/BV (x)	11.9	4.2	2.1	1.2
Total div yield (%)	0.2	0.1	0.2	0.1
Quant (rank vs. global sector)	5 / 657			

000660 KS rel KOSPI performance, & rec history



Source: FactSet, Macquarie Research, May 2026 (all figures in KRW unless noted, TP in KRW)

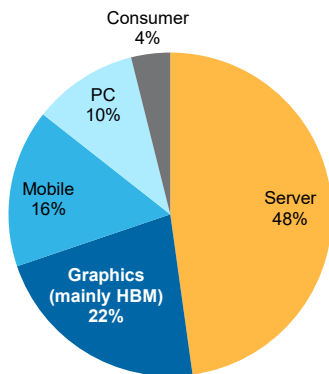
Key Risks to Investment Thesis

- Slowdown in AI infrastructure investment.
- Other gating products (power or the other upstream components) may delay AI data-centre projects.
- Wuxi DRAM fab having difficulty in tech upgrades beyond 1a nm, given no availability of EUV.
- CXMT in China making inroads in high-end DRAM market.
- Potential production hiccups and poor yield in HBM4.

Company Description

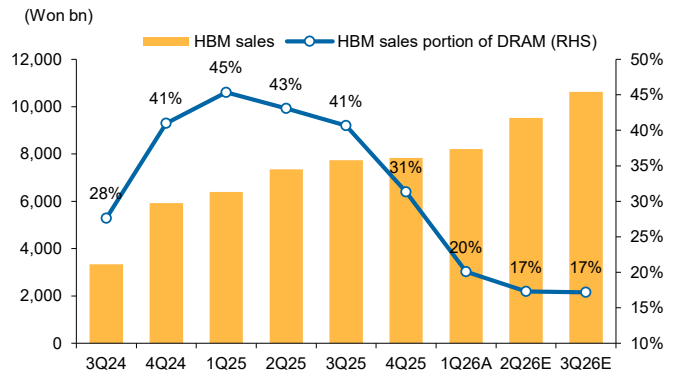
SK Hynix is considered a pure memory stock with a 70%/30% sales breakdown of DRAM/ NAND. Hynix, no. 2 DRAM player for decades, now commands similar market share as Samsung Electronic, thanks to its HBM leadership. The company has been active in NAND industry consolidation, including its Kioxia investment in 2017 and the acquisition of Intel NAND in 2020.

Figure 1 - SK Hynix: DRAM sales breakdown (1Q26)



Source: Company data, Macquarie Research, May 2026

Figure 2 - SK Hynix: HBM sales and % of sales



Source: Company data, Macquarie Research, May 2026

SK Hynix (000660 KS) KRW/(bn) unless otherwise noted

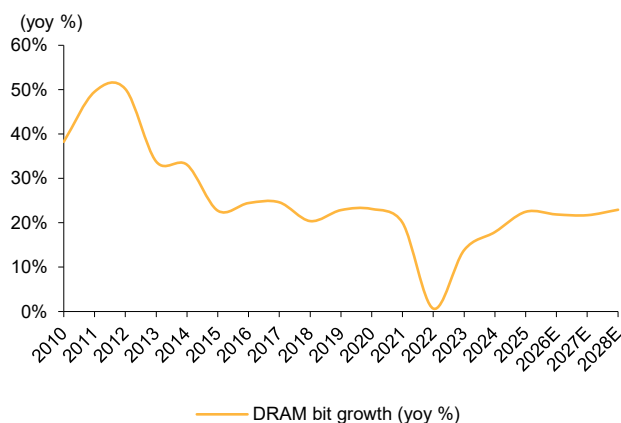
Income Statement	Dec FY	2025A	2026E	2027E	2028E	Q4/25A	Q1/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		97,147	322,408	541,564	764,436	32,827	52,576	Cash	34,942	177,689	453,162	881,469
Cost of Goods Sold		38,456	45,194	58,595	73,777	10,250	10,897	Receivables	18,468	68,753	110,679	145,889
Gross Profit		58,691	277,215	482,970	690,659	22,576	41,679	Inventories	14,289	13,175	16,545	20,100
EBITDA		61,136	277,239	483,681	693,412	22,740	41,339	Investments	17,172	29,604	30,806	32,057
Depreciation		13,930	20,570	26,912	33,327	3,571	3,729	Fixed Assets	77,503	95,461	117,049	144,347
Amortisation		0.0	0.0	0.0	0.0	0.0	0.0	Intangibles	4.1	4.6	5.4	6.4
EBIT		47,206	256,669	456,768	660,084	19,170	37,610	Other Assets	13,729	14,451	15,210	16,256
Net Interest Income		(429.4)	565.0	2,913	7,992	(46.0)	22.0	Total Assets	176,108	399,137	743,457	1,240,123
Associates		(564.6)	(27.0)	0.0	0.0	(517.5)	(27.0)	Payables	3,244	15,763	25,376	33,448
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	8,162	4,632	3,440	2,629
Forex Gains / Losses		(448.4)	1,573	0.0	0.0	(165.8)	1,573	Long Term Debt	14,086	7,857	6,184	4,866
Other Pre-Tax Income		4,702	27,439	(0.0)	(0.0)	(786.9)	12,439	Other Liabilities	29,949	34,736	33,179	31,683
Pre-Tax Profit		50,466	286,219	459,682	668,076	17,653	51,617	Total Liabilities	55,441	62,988	68,178	72,626
Tax Expense		(7,518)	(72,268)	(119,517)	(173,700)	(2,407)	(11,271)	Shareholders' Funds	119,188	330,625	669,696	1,161,856
Net Profit		42,948	213,951	340,164	494,376	15,246	40,346	Minority Interests	150.6	208.0	266.0	324.3
Minority Interests		(28.6)	(57.4)	(58.0)	(58.3)	(26.2)	(16.0)	Other	1,328	5,317	5,317	5,317
Reported Earnings		42,948	213,951	340,164	494,376	15,246	40,346	Total S/H Equity	120,667	336,150	675,278	1,167,497
Adjusted Earnings		42,919	213,894	340,106	494,318	15,220	40,330	Total Liab & S/H Funds	176,108	399,137	743,457	1,240,123
Basic Shares Outstanding		0.7	0.7	0.7	0.7	0.7	0.7	Net Debt / Equity (%)	(10.5)	(49.1)	(65.7)	(74.9)
Diluted Shares Outstanding		0.7	0.7	0.7	0.7	0.7	0.7	Interest Cover (x)	109.9	NM	NM	NM
EPS (rep) [KRW]		58,994.2	300,197.7	477,288.5	693,665.1	20,942	56,610	ROE (%)	44.2	93.7	67.3	53.7
EPS (adj) [KRW]		58,954.9	300,117.1	477,207.2	693,583.2	20,906	56,587	ROA (%)	31.9	89.2	80.0	66.6
Total DPS [KRW]		3,034.4	1,500.0	3,125.0	1,500.0	1,909	375	ROIC (%)	48.7	177.7	197.7	210.8
Ratio		2025A	2026E	2027E	2028E			Cash Flow Analysis	2025A	2026E	2027E	2028E
Revenue Growth (%)		46.8	231.9	68.0	41.2	-	-	EBITDA	61,136	277,239	483,681	693,412
EBITDA Growth (%)		69.6	353.5	74.5	43.4	-	-	Tax Paid	(7,518)	(72,268)	(119,517)	(173,700)
EBIT Growth (%)		101.2	443.7	78.0	44.5	-	-	Chgs in Working Cap	3,528	17,034	28,169	34,817
EPS Growth (adj) (%)		116.9	409.1	59.0	45.3	-	-	Net Interest Paid	(429.4)	565.0	2,913	7,992
Gross Profit Margin (%)		60.4	86.0	89.2	90.3	-	-	Other	(3,344)	(26,030)	(65,349)	(67,065)
EBITDA Margin (%)		62.9	86.0	89.3	90.7	-	-	Operating Cashflow	53,373	196,540	329,896	495,456
EBIT Margin (%)		48.6	79.6	84.3	86.3	-	-	Acquisitions	0.0	0.0	0.0	0.0
Net Profit Margin (%)		44.2	66.3	62.8	64.7	-	-	Capex	(27,519)	(37,907)	(48,500)	(60,625)
Payout Ratio (%)		5.1	0.5	0.7	0.2	-	-	Other	(20,535)	(6,483)	(83.0)	(1,094)
PE (rep) (x)		33.5	6.6	4.1	2.8	-	-	Investing Cashflow	(48,054)	(44,390)	(49,333)	(61,719)
PE (adj) (x)		33.5	6.6	4.1	2.8	-	-	Dividend (Ordinary)	(1,681)	(2,095)	(1,036)	(2,158)
EV/EBITDA (x)		21.8	4.7	2.7	1.9	-	-	Equity Raised	165.3	(361.7)	0.0	0.0
EV/EBIT (x)		28.4	5.0	2.8	2.0	-	-	Debt Movements	767.6	(9,759)	(2,865)	(2,129)
Price/Book (x)		11.9	4.2	2.1	1.2	-	-	Other	(852.0)	(7,370)	0.0	0.0
Total Div Yield (%)		0.2	0.1	0.2	0.1	-	-	Financing Cashflow	(1,600)	(19,586)	(3,901)	(4,287)
								Net Chg in Cash/Debt	3,719	132,564	276,663	429,450
								Free Cashflow	25,854	158,633	281,396	434,831

Source: Company data, Macquarie Research May 2026

No easing of supply constraints even after new fabs come online from 2027

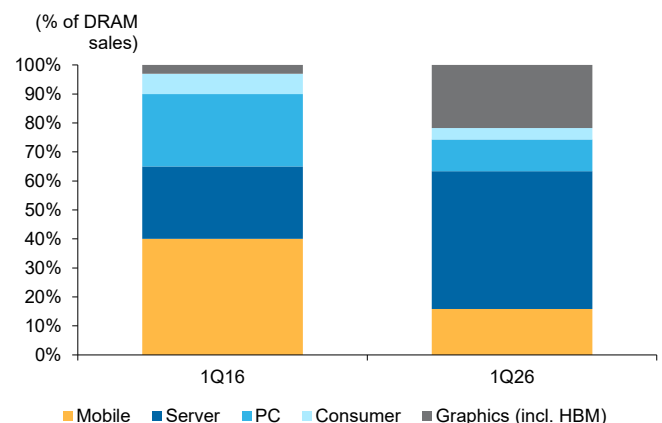
- AI build-out frenzy should support the memory market beyond 2027.** There now seems to be a consensus that the memory crunch will continue for at least another year or so. The key issue then becomes what impacts the new fabs coming onstream from 2027 will have on memory demand-supply. However, we expect DRAM bit supply growth to remain at around 20% in 2028, even after new fabs become operational, as bit growth from the 1d/0a nm node migration should be limited by longer tact times (lead times) and larger cleanroom requirements. Moreover, HBM4E and HBM5 should consume significantly more DRAM wafer capacity.
- Memory demand from PC and smartphone should come back in 2028, if not 2027.** Consumer segments are in the middle of reflecting higher memory costs in their product prices this year. So far, end demand has been relatively resilient, indicating low demand elasticity to price. In other words, memory is essential to all digital devices, which have become a necessity in modern life. As long as the memory shortage persists, a 30-50% higher retail selling price for PCs and mobile phones, should become the new norm. With edge AI usage taking off, we expect memory demand from consumer devices to jump in terms of both unit shipment growth and memory contents per box from 2028.
- HBM annual price to rise significantly in 2027E.** When the 2026 HBM annual price was set in October 2025, the commodity DRAM price was only a fraction of the current price. Although HBM4 is far more technologically complex, HBM profit margins remain significantly below those of commodity DRAM. Now that even the NAND profit margin is rapidly improving, HBM has to vie for cleanroom space with both DRAM and NAND. In this regard, we believe AI chip companies will have little choice but to accept a material price increase in 2027 annual HBM contract pricing.
- Implications for LTAs.** The details of LTAs are yet to be known to the market. Nonetheless, we understand that all the major memory buyers, big or small, are willing to sign five-year supply contracts. We believe no memory customers would bother to seek five-year binding contracts if they thought memory supply was likely to ease from 2028. Hynix, just like the other memory companies, is in a position to pick and choose the LTAs with the most favourable terms. The key question is how much of its annual output will be locked up and with clients from which segment. We expect 30-50% of annual volumes to be committed to these long-term contracts in the long run.

Figure 3 - Hynix DRAM bit growth to remain at 20% level



Source: Company data, Macquarie Research, May 2026

Figure 4 - Hynix DRAM sales breakdown in 1Q16 vs. 1Q26

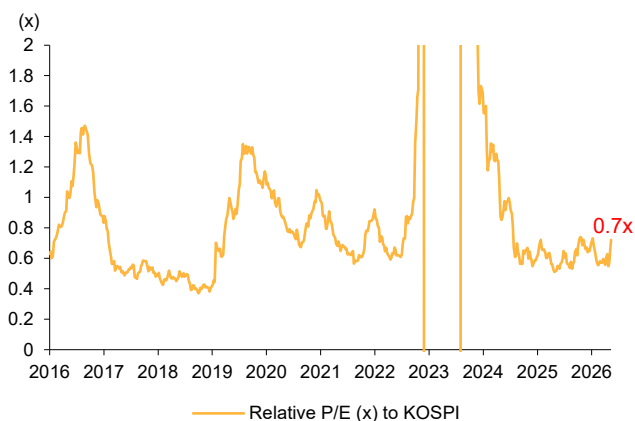


Source: Company data, Macquarie Research, May 2026

Hynix to join the US\$1tn market cap club soon

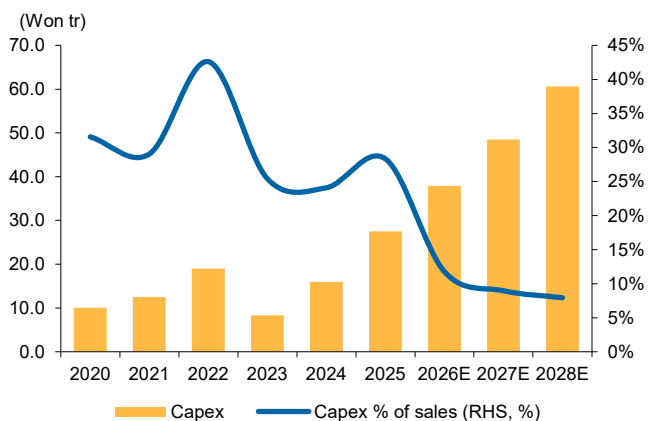
- **Significant operating leverage in the memory industry.** We estimate every US\$1 increase in the 1GB (gigabyte) DRAM price should bring in US\$17bn in pre-tax profit in 2026. And every 5 US cent increase in 1GB NAND should mean an extra US\$15bn in pre-tax profit in 2026. In this regard, our top of the Street earnings forecasts are subject to upward revisions if the DRAM price continues to rise in 2H26 (versus our flattish price assumptions).
- **Valuation still attractive at 5x 2027E EPS** for such a strong earnings growth outlook and improving earnings visibility. We estimate its book-value should jump six-fold, from Won165,000 in 2025 to Won950,000 in 2027E, due to the scale of profits and the small equity base. This means that Hynix's current share price is only at a meagre 2x 2027E book-value, despite ROE of 94%. More importantly, we see a very low chance of memory prices falling in the next three years, given the structural reasons underlying demand (AI demand) and supply (limited bit growth from die shrink at the 10nm node).
- **Virtuous cycle of share buyback/cancellation and ADRs.** We believe Hynix's ADR listing is not just a one-off, but will be a repeating event over the next three years. Based on our calculations, the company is likely to generate sufficient excess cash flow to return c.Won250tn to shareholders by early 2028. In our view, the easiest way to do so would be to continue buying back shares and cancelling them, creating room for additional ADR issuance. This is necessary, as SK Square does not intend to participate in the rights issue (ADR) and does not want to dilute its 20% stake. The implications are positive, in our view: local free float should continue to contract, while a growing ADR share base is likely to attract sizeable passive inflows from US investors.

Figure 5 - Hynix relative P/E (x) to KOSPI



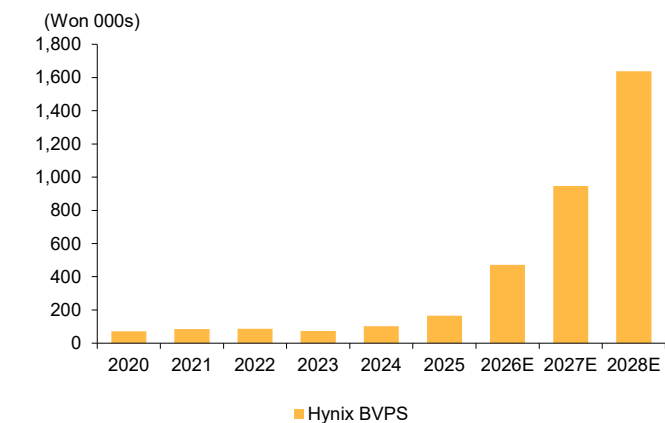
Source: Bloomberg, Macquarie Research, May 2026

Figure 6 - Falling capital intensity in memory



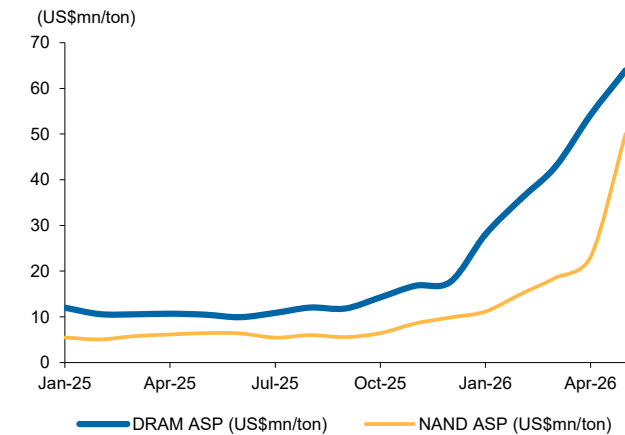
Source: Company data, Macquarie Research, May 2026

Figure 7 - Hynix book value has nearly doubled every year



Source: Company data, Macquarie Research, May 2026

Figure 8 - Memory export price trend



Source: TRASS, KITA, Macquarie Research, May 2026

May.26 data is preliminary data (1~10th of May)

Figure 9 - SK Hynix quarterly earnings snapshot

(Won tr)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25
Sales	5.09	7.31	9.07	11.31	12.43	16.42	17.57	19.77	17.64	22.23	24.45	32.83
OP	-3.40	-2.88	-1.79	0.35	2.89	5.47	7.03	8.08	7.44	9.21	11.38	19.17
RP	-3.53	-3.79	-2.47	-1.87	2.37	5.05	6.88	9.58	9.30	8.72	14.79	17.65
NP	-2.58	-2.99	-2.18	-1.36	1.92	4.12	5.75	8.00	8.11	7.00	12.60	15.22
EBITDA	0.16	0.63	1.56	3.60	6.08	8.60	10.11	11.26	10.79	12.67	14.94	22.74
Margin												
OPM	-67%	-39%	-20%	3%	23%	33%	40%	41%	42%	41%	47%	58%
RPM	-69%	-52%	-27%	-17%	19%	31%	39%	48%	53%	39%	60%	54%
NPM	-51%	-41%	-24%	-12%	15%	25%	33%	40%	46%	31%	52%	46%
EBITDA M	3%	9%	17%	32%	49%	52%	58%	57%	61%	57%	61%	69%
Balance sheet												
Inventory	17.18	16.42	14.95	13.48	13.84	13.35	13.35	13.31	14.55	13.41	13.16	14.29
Total debt	28.76	30.81	31.56	29.47	29.51	25.23	21.84	22.68	23.33	21.84	24.08	22.25
Cash & equiv	6.14	7.49	8.53	8.92	10.32	9.69	10.86	14.16	14.31	16.96	27.85	34.94
Net debt	22.62	23.32	23.03	20.55	19.19	15.54	10.99	8.53	9.02	4.88	-3.78	-12.69
Equity	61.01	57.46	55.23	53.50	55.51	59.83	65.30	73.92	81.44	87.14	100.01	120.67
Net DE ratio	37%	41%	42%	38%	35%	26%	17%	12%	11%	6%	-4%	-11%
ROE	-17%	-20%	-16%	-10%	14%	29%	37%	46%	42%	33%	54%	55%
BVPS	83,803	78,927	75,867	73,494	76,246	82,184	89,700	101,532	111,866	119,701	137,371	165,751
Cash flow statement												
D&A	3.56	3.51	3.35	3.25	3.19	3.13	3.08	3.17	3.35	3.45	3.56	3.57
Capex	3.15	1.93	1.51	1.73	3.10	2.06	3.51	7.27	6.28	4.33	5.03	11.87
Free cash flow	-2.18	-1.41	-0.35	0.15	2.01	5.19	5.33	3.91	5.17	6.12	11.12	6.95
Earnings driver												
HBM sales portion (DRAM)	8%	11%	16%	16%	16%	24%	28%	40%	45%	43%	41%	31%
HBM bit portion (DRAM)	1%	2%	3%	3%	4%	7%	8%	12%	14%	13%	13%	12%
DRAM total bit (1GB bn)	1.40	1.91	2.31	2.38	2.03	2.46	2.40	2.56	2.36	2.90	3.12	3.18
%QoQ	-20%	37%	21%	3%	-15%	21%	-2%	7%	-8%	23%	8%	2%
DRAM ASP (US\$/1GB)	1.64	1.79	1.99	2.35	2.82	3.27	3.71	4.10	4.11	4.19	4.40	5.41
%QoQ	-17%	9%	11%	18%	20%	16%	14%	11%	2%	2%	5%	23%
HBM total bit (1GB bn)	0.02	0.03	0.07	0.08	0.08	0.16	0.19	0.32	0.32	0.37	0.40	0.38
%QoQ	-36%	94%	106%	21%	0%	97%	20%	66%	0%	17%	7%	-4%
HBM ASP (US\$/1GB)	11.20	11.20	11.20	11.20	11.20	12.00	12.80	13.29	13.82	14.00	13.99	14.13
%QoQ	0%	0%	0%	0%	0%	7%	7%	4%	4%	1%	0%	1%
NAND total bit (1GB bn)	27.69	40.71	43.31	41.89	42.30	41.58	35.39	33.58	27.54	46.79	44.40	48.80
%QoQ	-15%	47%	6%	-3%	1%	-2%	-15%	-5%	-18%	70%	-5%	10%
NAND ASP (US\$/1GB)	0.05	0.04	0.04	0.06	0.08	0.09	0.10	0.10	0.08	0.07	0.08	0.11
%QoQ	-10%	-10%	-1%	40%	30%	17%	16%	-5%	-21%	-9%	12%	32%
Sales breakdown												
DRAM	2.92	4.51	6.04	7.39	7.58	11.01	12.08	14.68	14.11	17.07	19.03	25.00
HBM	0.24	0.48	0.99	1.20	1.21	2.63	3.34	5.92	6.40	7.35	7.74	7.83
NAND	1.69	2.29	2.41	3.29	4.35	5.16	5.04	4.69	3.18	4.73	4.94	7.51
Sales mix												
DRAM	57%	62%	67%	65%	61%	66%	69%	74%	80%	77%	78%	76%
HBM	5%	7%	11%	11%	10%	16%	19%	30%	36%	33%	32%	24%
NAND	33%	31%	27%	29%	35%	31%	29%	24%	18%	21%	20%	23%
OP breakdown												
DRAM	-1.56	-0.14	0.56	1.64	2.65	4.87	6.19	7.37	7.40	9.12	11.30	16.70
NAND	-1.89	-2.64	-2.19	-1.23	0.28	0.85	0.84	0.70	0.03	0.02	0.02	2.46
OPM by division												
DRAM	-53%	-3%	9%	22%	35%	44%	51%	50%	52%	53%	59%	67%
NAND	-112%	-116%	-91%	-37%	6%	17%	17%	15%	1%	0%	0%	33%

Source: Company data, Macquarie Research, May 2026

Figure 10 - SK Hynix quarterly earnings snapshot cont'd

(Won tr)	1Q26A	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Sales	52.58	75.09	91.61	103.13	102.60	121.05	151.89	166.02	158.56	180.70	206.34	218.83
OP	37.61	59.42	74.79	84.85	83.89	100.63	129.67	142.58	134.52	155.88	179.48	190.21
RP	51.62	74.47	74.98	85.16	84.34	101.25	130.47	143.62	135.86	157.60	181.65	192.96
NP	40.33	55.10	55.47	63.00	62.40	74.91	96.54	106.26	100.52	116.61	134.41	142.78
EBITDA	41.34	64.71	80.40	90.78	90.10	107.14	136.54	149.90	142.20	163.93	187.99	199.29
Margin												
OPM	72%	79%	82%	82%	82%	83%	85%	86%	85%	86%	87%	87%
RPM	98%	99%	82%	83%	82%	84%	86%	87%	86%	87%	88%	88%
NPM	77%	73%	61%	61%	61%	62%	64%	64%	63%	65%	65%	65%
EBITDA M	79%	86%	88%	88%	88%	89%	90%	90%	90%	91%	91%	91%
Balance sheet												
Inventory	15.97	11.56	12.13	13.18	13.62	14.76	15.75	16.55	17.15	17.35	18.76	20.10
Total debt	19.32	16.58	14.33	12.49	10.97	10.49	10.04	9.62	8.53	8.16	7.82	7.49
Cash & equiv	54.33	90.26	128.61	177.69	233.02	290.23	361.71	453.16	549.19	644.58	754.50	881.47
Net debt	-35.01	-73.68	-114.27	-165.20	-222.05	-279.74	-351.67	-443.54	-540.66	-636.42	-746.68	-873.97
Equity	164.38	218.17	273.39	336.15	398.30	472.97	569.26	675.28	775.56	890.80	1,024.97	1,167.50
Net DE ratio	-21%	-34%	-42%	-49%	-56%	-59%	-62%	-66%	-70%	-71%	-73%	-75%
ROE	113%	115%	90%	83%	68%	69%	74%	68%	55%	56%	56%	52%
BVPS	230,410	305,868	383,332	471,363	558,550	663,292	798,380	947,117	1,087,801	1,249,478	1,437,706	1,637,673
Cash flow statement												
D&A	3.73	5.30	5.61	5.93	6.21	6.50	6.88	7.32	7.68	8.05	8.52	9.08
Capex	7.66	9.90	10.35	10.00	10.50	12.00	13.50	12.50	13.13	15.00	16.88	15.63
Free cash flow	36.42	50.51	50.74	58.95	58.12	69.43	89.93	101.10	95.09	109.67	126.07	136.25
Earnings driver												
HBM sales portion (DRAM)	20%	17%	17%	18%	22%	28%	26%	27%	27%	30%	33%	36%
HBM bit portion (DRAM)	13%	14%	15%	16%	16%	18%	19%	20%	21%	22%	23%	23%
DRAM total bit (1GB bn)	3.17	3.44	3.54	3.93	3.62	3.98	4.66	4.89	4.70	5.17	5.48	5.75
%QoQ	0%	9%	3%	11%	-8%	10%	17%	5%	-4%	10%	6%	5%
DRAM ASP (US\$/1GB)	8.80	11.44	12.47	12.84	13.48	14.42	16.16	17.45	18.15	18.51	19.25	19.44
%QoQ	63%	30%	9%	3%	5%	7%	12%	8%	4%	2%	4%	1%
HBM total bit (1GB bn)	0.40	0.48	0.53	0.63	0.58	0.72	0.89	0.98	0.99	1.14	1.26	1.32
%QoQ	4%	22%	10%	18%	-8%	24%	24%	11%	1%	15%	11%	5%
HBM ASP (US\$/1GB)	14.13	14.13	14.27	14.70	18.37	22.41	21.97	23.72	23.72	25.38	27.42	30.16
%QoQ	0%	0%	1%	3%	25%	22%	-2%	8%	0%	7%	8%	10%
NAND total bit (1GB bn)	42.75	49.76	57.22	56.65	58.92	66.57	71.90	73.34	72.60	80.59	87.04	90.52
%QoQ	-12%	16%	15%	-1%	4%	13%	8%	2%	-1%	11%	8%	4%
NAND ASP (US\$/1GB)	0.18	0.28	0.37	0.40	0.41	0.43	0.46	0.45	0.44	0.47	0.54	0.55
%QoQ	72%	55%	30%	10%	2%	5%	6%	-2%	-2%	7%	15%	2%
Sales breakdown												
DRAM	40.88	55.10	61.86	70.72	68.32	80.41	105.37	119.49	115.04	129.07	142.29	150.90
HBM	8.21	9.53	10.62	12.95	14.90	22.49	27.22	32.49	31.58	38.94	46.61	53.84
NAND	11.42	19.69	29.44	32.06	34.01	40.35	46.20	46.18	43.20	51.31	63.73	67.60
Sales mix												
DRAM	78%	73%	68%	69%	67%	66%	69%	72%	73%	71%	69%	69%
HBM	16%	13%	12%	13%	15%	19%	18%	20%	20%	22%	23%	25%
NAND	22%	26%	32%	31%	33%	33%	30%	28%	27%	28%	31%	31%
OP breakdown												
DRAM	30.58	44.28	50.82	59.36	56.73	67.66	91.22	104.06	99.30	112.71	125.11	133.37
NAND	7.02	15.12	23.95	25.47	27.16	32.95	38.43	38.49	35.20	43.15	54.34	56.81
OPM by division												
DRAM	75%	80%	82%	84%	83%	84%	87%	87%	86%	87%	88%	88%
NAND	61%	77%	81%	79%	80%	82%	83%	83%	81%	84%	85%	84%

Source: Company data, Macquarie Research, May 2026

Figure 11 - SK Hynix annual earnings snapshot

(Won tr)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	30.1	40.4	27.0	31.9	43.0	44.6	32.8	66.2	97.1	322.4	541.6	764.4
OP	13.7	20.8	2.7	5.0	12.4	6.8	-7.7	23.5	47.2	256.7	456.8	660.1
RP	13.4	21.3	2.4	6.2	13.4	4.0	-11.7	23.9	50.5	286.2	459.7	668.1
NP	10.6	15.5	2.0	4.8	9.6	2.2	-9.1	19.8	42.9	213.9	340.1	494.3
EBITDA	18.7	27.3	11.3	14.8	23.1	21.0	5.9	36.0	61.1	277.2	483.7	693.4
%YoY growth												
Sales	75%	34%	-33%	18%	35%	4%	-27%	102%	47%	232%	68%	41%
OP	319%	52%	-87%	84%	148%	-45%	-214%	-404%	101%	444%	78%	45%
RP	318%	59%	-89%	156%	115%	-70%	-391%	-305%	111%	467%	61%	45%
NP	260%	46%	-87%	137%	102%	-77%	-509%	-317%	117%	398%	59%	45%
EBITDA	142%	45%	-58%	30%	56%	-9%	-72%	507%	70%	353%	74%	43%
Margin												
OPM	46%	52%	10%	16%	29%	15%	-24%	35%	49%	80%	84%	86%
RPM	45%	53%	9%	20%	31%	9%	-36%	36%	52%	89%	85%	87%
NPM	35%	38%	7%	15%	22%	5%	-28%	30%	44%	66%	63%	65%
EBITDA M	62%	67%	42%	46%	54%	47%	18%	54%	63%	86%	89%	91%
Balance sheet												
Inventory	2.6	4.4	5.3	6.1	9.0	15.7	13.5	13.3	14.3	13.2	16.5	20.1
Total debt	4.2	5.3	10.5	11.3	17.6	23.0	29.5	22.7	22.2	12.5	9.6	7.5
Cash & equiv	7.6	8.4	4.0	4.9	8.7	6.4	8.9	14.2	34.9	177.7	453.2	881.5
Net debt	-3.5	-3.1	6.5	6.3	9.0	16.6	0.0	8.5	-12.7	-165.2	-443.5	-874.0
Equity	33.8	46.9	47.9	51.9	62.2	63.3	53.5	73.9	120.7	336.1	675.3	1,167.5
Net DE ratio	-10%	-7%	14%	12%	14%	26%	38%	12%	-11%	-49%	-66%	-75%
ROE	37%	39%	4%	10%	17%	4%	-16%	31%	44%	94%	67%	54%
BVPS	46,457	64,357	65,846	71,275	85,380	86,904	73,495	101,515	165,544	471,363	947,117	1,637,673
Cash flow statement												
D&A	5.0	6.4	8.6	9.8	10.7	14.2	13.7	12.6	13.9	20.6	26.9	33.3
Capex	9.1	16.0	13.9	10.1	12.5	19.0	8.3	15.9	27.5	37.9	48.5	60.6
Free cash flow	6.5	5.9	-3.3	4.5	7.8	-2.6	-3.8	16.4	29.4	196.6	318.6	467.1
Earnings driver												
HBM sales portion (DRAM)						4%	14%	29%	39%	18%	26%	32%
HBM bit portion (DRAM)						1%	2%	8%	13%	14%	18%	22%
DRAM total bit (1GB bn)	3.20	3.85	4.73	5.82	6.99	7.03	8.01	9.44	11.56	14.09	17.15	21.09
%YoY	25%	20%	23%	23%	20%	1%	14%	18%	22%	22%	22%	23%
DRAM ASP (US\$/1GB)	6.34	7.64	3.81	3.40	3.87	3.17	1.99	3.51	4.57	11.49	15.56	18.87
%YoY	52%	20%	-50%	-11%	14%	-18%	-37%	77%	30%	151%	35%	21%
HBM total bit (1GB bn)						0.09	0.20	0.75	1.47	2.04	3.16	4.70
%YoY							128%	281%	96%	38%	55%	49%
HBM ASP (US\$/1GB)						11.20	11.20	12.67	13.99	14.34	21.95	26.92
%YoY							0%	13%	10%	2%	53%	23%
NAND total bit (1GB bn)	19.64	26.72	40.81	58.13	89.61	129.62	153.60	152.86	167.53	206.38	270.73	330.75
%YoY	16%	36%	53%	42%	54%	45%	19%	0%	10%	23%	31%	22%
NAND ASP (US\$/1GB)	0.30	0.25	0.11	0.11	0.10	0.09	0.05	0.09	0.09	0.32	0.44	0.51
%YoY	33%	-17%	-56%	2%	-10%	-16%	-44%	92%	-7%	273%	38%	15%
Sales breakdown												
DRAM	22.88	32.38	21.01	23.31	30.99	28.44	20.86	45.35	75.21	228.56	373.59	537.31
HBM						1.27	2.90	13.09	29.32	41.31	97.10	170.97
NAND	6.69	7.39	5.32	7.82	10.50	14.18	9.68	19.24	20.37	92.62	166.73	225.84
Sales mix												
DRAM	76%	80%	78%	73%	72%	64%	64%	68%	77%	71%	69%	70%
HBM						3%	9%	20%	30%	13%	18%	22%
NAND	22%	18%	20%	25%	24%	32%	30%	29%	21%	29%	31%	30%
OP breakdown												
DRAM	12.53	19.71	5.91	6.54	12.07	7.83	0.50	21.08	44.52	185.04	319.66	470.49
NAND	1.01	0.98	-3.30	-1.68	0.11	-1.15	-7.95	2.67	2.53	71.56	137.02	189.51
OPM by division												
DRAM	55%	61%	28%	28%	39%	28%	2%	46%	59%	81%	86%	88%
NAND	15%	13%	-62%	-22%	1%	-8%	-82%	14%	12%	77%	82%	84%

Source: Company data, Macquarie Research, May 2026

Key Quant Findings

(top 5% of the Macquarie Quant Alpha model)

The quant model currently holds a strong positive view on SK Hynix. The strongest style exposure is Profitability, indicating this stock is efficiently converting investments to earnings; proxied by ratios like ROE or ROA. The weakest style exposure is Valuations, indicating this stock is over-priced in the market relative to its peers.

Macquarie Alpha Model: Key rankings

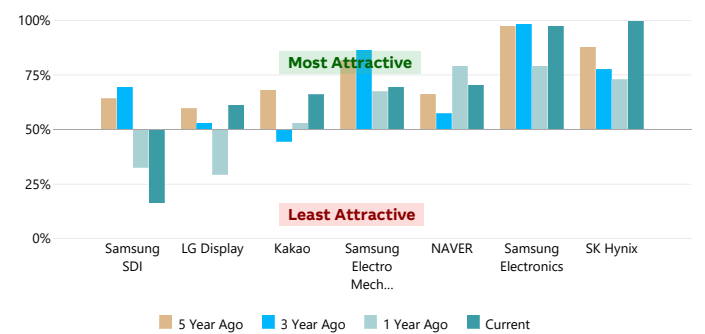
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Korea	Semiconductors & Semiconductor Equip.
Macquarie Alpha Model	59/17982	1/779	5/657
Fundamental (Consensus) *	2717/17982	180/779	122/657

* based on Total Shareholder Return = Consensus Price target / Current Price

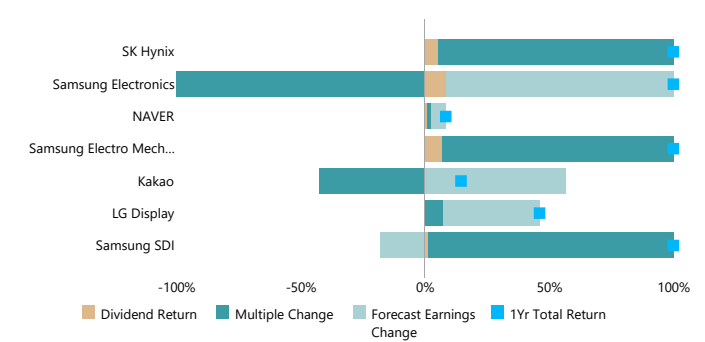
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccapequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1>.

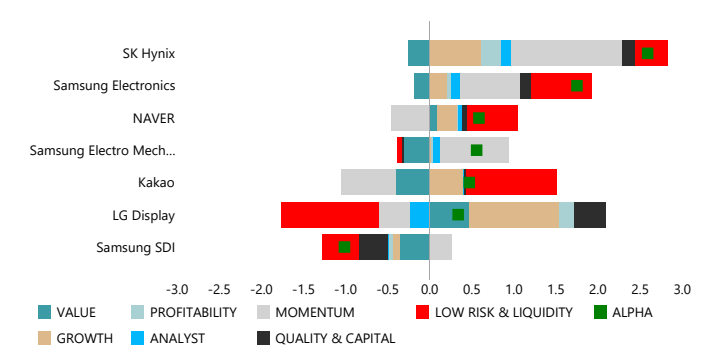
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/657)	market (/779)	
ALPHA	99%	100%	Built from the styles below
VALUE	72%	39%	Book, CF, Yield, Earnings Multiples
ANALYST	90%	97%	Revisions (Earnings, Recommendations)
MOMENTUM	95%	99%	Price Momentum
GROWTH	92%	100%	EPS, Sales (Forecast, Historic)
PROFITABILITY	98%	99%	ROE, Margin, Asset Turnover
QUALITY	74%	78%	Accruals, Earn Stability, Cash Conversion
CAPITAL	81%	74%	Investment/Capex, Net share issuance
LIQUIDITY	100%	100%	Size, Turnover, Analyst Coverage
LOW RISK	60%	39%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	39%	8%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

Asia Ex JP	Monthly Factor Long-Short Returns for												Last 5 Years (ann)	Last 10 Years (ann)
	Apr - 26	Mar - 26	Feb - 26	Jan - 26	Dec - 25	Nov - 25	Oct - 25	Sep - 25	Aug - 25	Jul - 25	Jun - 25	May - 25		
ALPHA	3%	4%	0%	0%	3%	3%	2%	-3%	-6%	-7%	-1%	1%	7%	5%
VALUE	-7%	6%	0%	-2%	3%	5%	4%	-4%	-4%	-3%	2%	4%	10%	4%
ANALYST	12%	-2%	0%	6%	5%	-2%	3%	4%	1%	-3%	4%	0%	15%	13%
MOMENTUM	19%	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-6%	-2%	2%	2%	4%
GROWTH	7%	-4%	-1%	4%	2%	-2%	0%	5%	8%	0%	1%	0%	4%	2%
PROFITABILITY	-4%	3%	0%	-4%	1%	3%	0%	-4%	-2%	-6%	1%	3%	-5%	-2%
QUALITY	-4%	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-3%	-4%	0%	-6%	-2%
CAPITAL	-12%	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	0%	1%	-4%
LIQUIDITY	7%	-1%	3%	1%	2%	-1%	-1%	3%	3%	-2%	1%	2%	-4%	2%
LOW RISK	-13%	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-5%	-1%	-8%	-7%

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Important Disclosures

Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60-100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40-60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25-40% in a year. Low – stock should be expected to move up or down at least 15-25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 31 Mar 2026

	AU/NZ	Asia	USA	
Outperform	66.90%	69.32%	67.14%	(for global coverage by Macquarie, 1.93% of stocks followed are investment banking clients)
Neutral	27.18%	17.21%	32.86%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	5.92%	13.47%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

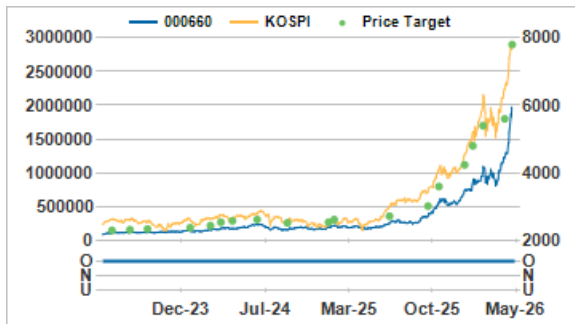
Company Name	Disclosure
SK Hynix (000660 KS) Outperform 12-month target: KRW2,900,000 - PER Valuation: KRW 2,900,000 - PER Price: KRW1,976,000	Macquarie has provided non-investment banking non-securities services to SK Hynix Inc in the past 12 months, for which it received compensation.

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TO THE EXTENT THAT ANY COMPANY MENTIONED IN THIS COMMUNICATION IS A COMPANY LISTED IN THE ANNEX TO EXECUTIVE ORDER 14032 OF JUNE 3, 2021 FROM THE PRESIDENT OF THE UNITED STATES OF AMERICA ("EO14032") OR IN THE OFAC NON-SDN CHINESE MILITARY-INDUSTRIAL COMPLEX COMPANIES LIST AS UPDATED FROM TIME TO TIME AND YOU ARE A "UNITED STATES PERSON" AS DEFINED UNDER EO14032, YOU ARE REMINDED THAT YOU MAY BE PREVENTED BY EO14032 FROM TRADING THE SECURITIES OF SUCH A COMPANY.

Recommendation history

Company name	Date	Recommendation	Target price
SK Hynix (000660 KS)	14-May-2026	Outperform	KRW 2900000.00
	24-Apr-2026	Outperform	KRW 1800000.00
	25-Feb-2026	Outperform	KRW 1700000.00
	29-Jan-2026	Outperform	KRW 1400000.00
	7-Jan-2026	Outperform	KRW 1120000.00
	30-Oct-2025	Outperform	KRW 800000.00
	1-Oct-2025	Outperform	KRW 510000.00
	20-Jun-2025	Outperform	KRW 360000.00
	23-Jan-2025	Outperform	KRW 310000.00



8-Jan-2025	Outperform	KRW 270000.00
20-Sep-2024	Outperform	KRW 260000.00
1-Jul-2024	Outperform	KRW 310000.00
26-Apr-2024	Outperform	KRW 290000.00
26-Mar-2024	Outperform	KRW 270000.00
27-Feb-2024	Outperform	KRW 220000.00
4-Jan-2024	Outperform	KRW 190000.00
12-Sep-2023	Outperform	KRW 170000.00
27-Jul-2023	Outperform	KRW 160000.00
9-Jun-2023	Outperform	KRW 150000.00

Sensitivity analysis:

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